

BIG SHORT THESIS — INTELLIGENCE GATHERING PLAYBOOK

Classification: Personal Use Only — Trade Research

Last Updated: February 9, 2026

Thesis: Regional Bank CRE Collapse / KRE Put Strategy — December 2026 Expiry

OVERVIEW

This document is a precise checklist of every data source, filing, and metric needed to monitor the regional bank CRE collapse thesis in real time. Focus is on blue-metro-exposed regionals (SF, NYC, LA, Chicago, Seattle) where office vacancy and CRE distress are most concentrated.

The core signal: the gap between what banks are reporting and what's actually happening on their books is widening — and regulators just changed the rules to make it wider.

SECTION 1: CMBS SPECIAL SERVICING DATA (LEADING INDICATOR)

This is the earliest public signal of CRE stress. When a CMBS loan transfers to a special servicer, it means the borrower is in distress and the loan is being actively worked out. This data moves BEFORE bank earnings reflect losses.

Source: Trepp (trepp.com)

- **What to pull:** Monthly CMBS Special Servicing Rate reports, broken out by property type and metro
- **Key metric:** Office special servicing rate (currently 17.16% as of Nov 2025 — all-time high)
- **How to access:** Trepp publishes monthly summaries publicly via press releases and newsletter. Full granular data requires a subscription (\$), but the headline numbers and property-type breakdowns are free through CRE Daily (credaily.com), Multi-Housing News, and Commercial Observer

- **Frequency:** Monthly, typically released mid-month for prior month data

What to watch for:

- Office special servicing rate crossing 20% (approaching GFC-era territory)
- Any single-month spike of 200+ bps in a specific metro
- New large-loan transfers (\$100M+) in your target metros — these are named in Trepp alerts and Bisnow reporting

Source: CRED iQ (crediq.com)

- **What to pull:** Individual CMBS loan-level data by metro, property type, and servicer
 - **Key metric:** Loan-level delinquency status, maturity dates, and debt service coverage ratios (DSCR)
 - **How to access:** Free tier gives limited searches. Paid tier (\$99/mo) gives full loan-level lookups by city, property type, and originator
 - **Frequency:** Updated continuously as servicer reports come in
 - **Specific search:** Filter by Metro = San Francisco, New York, Los Angeles, Chicago, Seattle. Property Type = Office. Status = Special Servicing or 60+ Days Delinquent. Sort by loan balance descending
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SECTION 2: BANK CALL REPORTS (QUARTERLY FILINGS)

Every FDIC-insured bank files a Call Report quarterly. These are the financial statements that reveal CRE concentration, past-due loans, charge-offs, and loan modifications. This is where you catch banks before the market does.

Source: FFIEC Central Data Repository (cdr.ffiec.gov/public)

- **What to pull:** Schedule RC-C Part I (Loans and Leases) and Schedule RC-N (Past Due and Nonaccrual)
- **How to access:** 100% free. Go to cdr.ffiec.gov → Public → Individual Institution Search → Enter bank name or RSSD ID → Select report date → Download schedules

Target Banks by Metro (Highest CRE Concentration):

New York / NJ Metro:

- Flagstar Bank (NYCB subsidiary) — CRE/Capital ratio ~470%, heaviest office exposure in NYC
- Valley National Bank (VLY) — CRE/Capital ratio ~475%, highest among large banks
- Signature Bank successor entities — monitor workout portfolio
- New York Private Bank & Trust
- Sterling Bancorp

San Francisco / Bay Area:

- First Republic successor (now JPM, but watch the portfolio runoff)
- Pacific Western / Banc of California (BANC) — merged entity, heavy CA CRE
- Western Alliance Bank (WAL) — significant CA office exposure
- Heritage Oaks / Pacific Premier Bancorp

Los Angeles:

- Banc of California (BANC)
- Pacific Premier Bancorp (PPBI)
- Customers Bancorp (CUBI) — multi-metro exposure
- HomeStreet (HMST) — WA/CA exposure

Chicago:

- Wintrust Financial (WTFC) — major Chicago metro lender
- Byline Bancorp (BY)
- Old Second Bancorp
- Inland Western / related entities

Seattle:

- HomeStreet (HMST) — Seattle HQ, heavy Pacific NW CRE
- Columbia Banking System (COLB)
- Washington Federal (WAFD)
- Banner Financial Group (BANR)

Specific Line Items to Extract Each Quarter:

From Schedule RC-C Part I:

1. Line 1a(2): Loans secured by nonfarm nonresidential properties (this is your CRE office/retail number)
2. Line 1a(1): Loans secured by multifamily residential (secondary stress indicator)
3. Line 1d: Construction and land development loans
4. Compare these to Line 12 (Total loans) to get CRE concentration percentage

From Schedule RC-N:

1. Lines 1a(2) columns A, B, C: Nonfarm nonresidential loans that are 30-89 days past due, 90+ days past due and still accruing, and nonaccrual
2. Track the MIGRATION between columns quarter over quarter — loans moving from 30-89 to 90+ to nonaccrual is the delinquency pipeline
3. Memorandum items: Troubled loan modifications (NOTE: as of Dec 31, 2025, banks only report modifications from the last 12 months — older ones roll off)

From Schedule RI (Income Statement):

1. Line 4: Provision for credit losses — when this spikes, the bank is admitting losses are coming
2. Line 6.a: Net charge-offs — actual realized losses

Key Ratio to Calculate:

$$\text{CRE Concentration Ratio} = (\text{Total CRE Loans}) / (\text{Tier 1 Capital} + \text{ALLL})$$

Any ratio above 300% is the FDIC regulatory threshold for “significant concentration.” Above 400% is the danger zone. Track this quarterly for each target bank.

SECTION 3: THE REPORTING RULE CHANGE (CRITICAL CONTEXT)

What happened:

On July 11, 2025, the FDIC/Fed/OCC finalized changes to Call Report instructions. Banks

now only report troubled loan modifications for 12 months after the modification date. Previously, modifications were reported cumulatively until resolution.

Why it matters:

- A loan modified in January 2025 drops off reports by March 2026
- Banks can restructure a loan, wait 12 months, and it disappears from regulatory reporting
- This means the Q1 2026 and Q2 2026 Call Reports will systematically UNDERSTATE the true volume of troubled CRE debt
- The \$936 billion in maturities pushed into 2026 includes loans that were already modified once — when they get modified again, only the new modification shows up

How to work around it:

- Track CUMULATIVE charge-offs (Schedule RI) — these can't be hidden
- Compare provision for credit losses to net charge-offs — if provisions are rising faster than charge-offs, the bank is building reserves for losses it hasn't recognized yet
- Cross-reference with CMBS special servicing data, which is NOT subject to bank reporting rules
- Monitor 10-K annual filings (SEC EDGAR) which have more detailed CRE disclosures than Call Reports

SECTION 4: SEC FILINGS — ANNUAL AND QUARTERLY REPORTS

Source: SEC EDGAR (sec.gov/cgi-bin/browse-edgar)

- **What to pull:** 10-K (annual) and 10-Q (quarterly) filings for each target bank holding company
- **Key sections to read:**
 1. **Risk Factors** — look for new or expanded language about CRE, office, or loan concentrations
 2. **Loan Portfolio Composition** — detailed breakdowns by property type and geography that are NOT in Call Reports

3. **Allowance for Credit Losses** — methodology changes, reserve build rates, and qualitative factors
4. **Criticized and Classified Assets** — banks disclose “special mention,” “substandard,” and “doubtful” loan categories. Watch the migration from special mention to substandard — this is the early warning
5. **Concentration of Credit Risk** — geographic and property-type exposure detail

Specific Filing Searches:

- Go to EDGAR Full-Text Search (efts.sec.gov/LATEST/search-index?q=)
- Search terms: “office loan modification” + bank name, “CRE concentration” + “risk factor”, “classified assets” + “commercial real estate”, “nonperforming” + “office”
- Filter by filing date to get the most recent disclosures

Timing:

- 10-K filings: Due 60 days after fiscal year end (most banks = February 28 for Dec 31 year-end)
- 10-Q filings: Due 40 days after quarter end
- 8-K filings: Material events filed within 4 business days — watch for dividend cuts, capital raises, large loan sales, or rating downgrades

SECTION 5: FDIC RESOLUTION AND STRESS DATA

Source: FDIC BankFind Suite (banks.data.fdic.gov)

- **What to pull:** Financial institution profiles, performance data, and historical comparisons
- **How to access:** Free. Search by institution name or filter by state/metro
- **Key data:** CRE concentration ratios, Texas Ratios (nonperforming assets / tangible equity + loan loss reserves), and peer group comparisons

Source: FAU CRE Bank Screener (business.fau.edu)

- **What to pull:** CRE exposure as percentage of total equity for the 154 largest US banks
- **How to access:** Free, updated quarterly

- **Key metric:** Any bank with CRE exposure above 300% of equity — list all and rank by concentration

Source: FDIC Problem Bank List

- **What to pull:** Total number of problem banks and aggregate assets
- **How to access:** Published quarterly in FDIC Quarterly Banking Profile ([fdic.gov/analysis](https://www.fdic.gov/analysis))
- **Limitation:** Individual bank names are NOT disclosed until failure
- **What to watch:** Total problem bank count trending up, aggregate problem bank assets growing

Source: FDIC Resolution Plans

- **What to pull:** Public sections of IDI Resolution Plans for large regionals
 - **How to access:** [fdic.gov/resolutions](https://www.fdic.gov/resolutions) → search by institution
 - **Note:** The FDIC modified resolution plan requirements in April 2025 and is conducting capabilities testing for large banks in early 2026. Any public disclosures about these tests could be material signals
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SECTION 6: REAL-TIME MARKET SIGNALS

Dividend Cuts and Capital Raises

- Set alerts on SEC EDGAR for 8-K filings from each target bank
- A dividend cut is the strongest pre-failure signal (NYCB cut from \$0.17 to \$0.05 before its crisis)
- Secondary equity offerings or preferred stock issuances signal capital stress

Credit Rating Actions

- Monitor Moody's, S&P, and Fitch for downgrades or negative outlook changes on target banks
- Source: Free via bank press releases (they must disclose rating changes)

Deposit Flows

- Available in Call Reports (Schedule RC-E)

- Watch for: uninsured deposit outflows, shift from demand deposits to time deposits (depositors demanding higher rates), and total deposit declines
- The SVB playbook: deposit flight → forced asset sales → realized losses → insolvency

CRE Loan Sales

- Watch for banks quietly selling CRE loan portfolios at discounts
- Source: Commercial Real Estate Direct (crenews.com), Bisnow, and Real Capital Analytics
- A large non-FDIC-assisted CRE loan sale (like the \$2.8B multifamily sale in 2024) signals a bank reducing exposure before losses are forced

SECTION 7: METRO-SPECIFIC VACANCY AND VALUATION DATA

Source: Moody's / MSCI Real Capital Analytics

- **What to pull:** Office vacancy rates, effective rent trends, and cap rate movements by metro
- **How to access:** Summary data published in quarterly reports via CoStar, CBRE, JLL, and Cushman & Wakefield research (all free to download). Granular data requires paid subscriptions

Key Metros to Track:

Metro	Current Office Vacancy	Trend	Key Risk
San Francisco	~35%+	Worst in nation	Tech sector downsizing, massive sublease overhang
New York (Manhattan)	~22%	Rising	Midtown South and FiDi worst hit, Class B/C distress
Los Angeles	~25%	Rising	Entertainment/media sector pullback
Chicago	~24%	Rising	Loop vacancy, Old Post Office distress case study

Seattle	~25%	Rising	Tech layoff exposure, Amazon HQ flex policy
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Source: CoStar / LoopNet (Public Data)

- **What to pull:** Listed office properties with recent price reductions, days on market, and asking cap rates
- **What to watch:** Properties listed below prior sale price (negative equity signal), days on market exceeding 180 days, and asking cap rates above 8% (distressed pricing territory)

SECTION 8: DATA GATHERING SCHEDULE

Weekly:

- Check Trepp/CRE Daily for new special servicing transfers
- Monitor SEC EDGAR 8-K filings for target banks
- Scan Bisnow and Commercial Observer for large loan default news

Monthly:

- Pull Trepp CMBS Special Servicing Rate report (released mid-month)
- Update CMBS delinquency data in your master tracking spreadsheet
- Check for credit rating actions on target banks

Quarterly (Most Important):

- Download Call Reports for all target banks within 2 weeks of filing deadline
- Extract all line items listed in Section 2
- Calculate CRE concentration ratios and quarter-over-quarter migration
- Read 10-Q/10-K risk factor sections for new CRE language
- Update FAU CRE Bank Screener rankings
- Pull FDIC Quarterly Banking Profile for problem bank trends

Key Dates for 2026:

- **Late February:** 10-K annual filings for Dec 31, 2025 year-end (FIRST reports under new

modification reporting rules)

- **April:** Q1 2026 earnings + 10-Q filings
 - **May:** Q1 2026 Call Reports available on FFIEC
 - **July:** Q2 2026 earnings + 10-Q filings
 - **August:** Q2 2026 Call Reports available — this is your midpoint check before December expiry
 - **October:** Q3 2026 earnings — LAST earnings cycle before December expiry
 - **November:** Q3 2026 Call Reports — final data point
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SECTION 9: SIGNAL FRAMEWORK — WHEN TO SIZE UP

Increase position size if you see ANY of the following:

1. **Dividend cut** at any target bank (immediate signal — this is the NYCB pattern)
 2. **Special servicing rate for office crosses 20%** (systemic threshold)
 3. **Individual bank CRE charge-offs spike 3x+ quarter-over-quarter** (loss recognition beginning)
 4. **Large CRE loan sale at 20%+ discount** by a target bank (fire sale = distress admission)
 5. **Moody's or S&P downgrades 3+ regional banks in same quarter** (sector-wide recognition)
 6. **Deposit outflows at any target bank exceeding 5% in a single quarter** (run risk)
 7. **FDIC problem bank list assets jump 50%+ quarter-over-quarter** (regulator seeing stress)
 8. **Any single office building in a target metro sells at 50%+ below prior appraisal** (market-clearing price discovery)
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SECTION 10: KEY URLs — BOOKMARK THESE

Resource	URL
FFIEC Call Reports	cdr.ffiec.gov/public

SEC EDGAR Filing Search	efits.sec.gov/LATEST/search-index
FDIC BankFind Suite	banks.data.fdic.gov
FDIC Quarterly Banking Profile	fdic.gov/analysis
FAU CRE Bank Screener	business.fau.edu (search "CRE bank exposure")
Trepp CMBS Data (via CRE Daily)	credaily.com
CRED iQ Loan Lookup	crediq.com
Bisnow National	bisnow.com/national
Commercial Observer	commercialobserver.com
St. Louis Fed FRED (CRE Loan Mods)	fred.stlouisfed.org
CoStar Public Research	costar.com/research

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